SESSION 2 · INDUSTRY INNOVATION



When the world changes faster than the model.

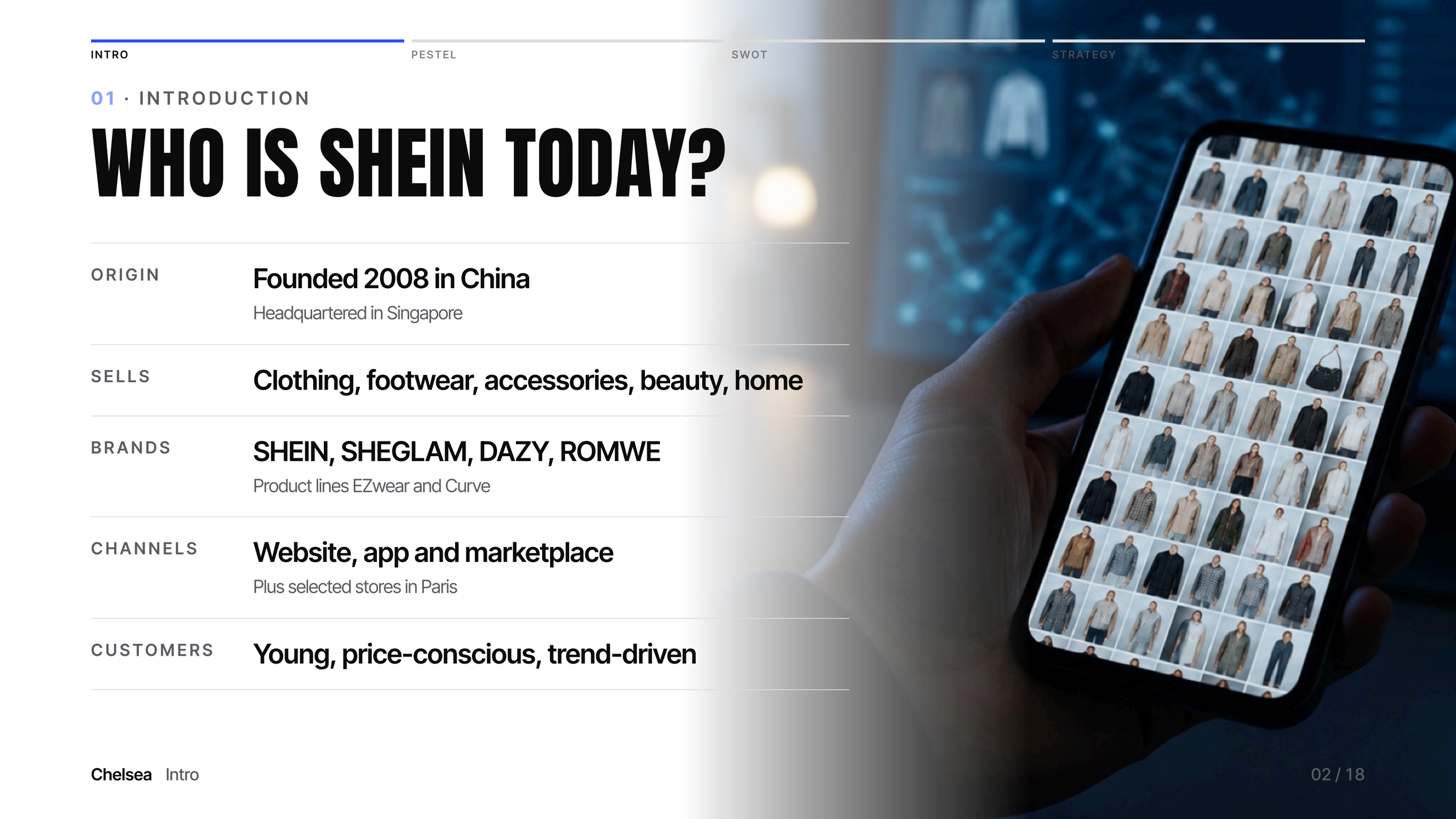
Strategies for Sustainable Business
Professor Marc Francés · EADA Business School

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01 · INTRODUCTION

WHO IS SHEIN TODAY?

ORIGIN	**Founded 2008 in China** Headquartered in Singapore
SELLS	**Clothing, footwear, accessories, beauty, home**
BRANDS	**SHEIN, SHEGLAM, DAZY, ROMWE** Product lines EZwear and Curve
CHANNELS	**Website, app and marketplace** Plus selected stores in Paris
CUSTOMERS	**Young, price-conscious, trend-driven**



01 · INTRODUCTION

SHEIN IN NUMBERS

160
markets worldwide

298M
orders in Q2 2026 · **+7.6%** year over year

US$813M
net cash from operating activities (June 2026)

16,000+
people have joined the team worldwide

40+
offices, from Singapore to Paris and London

02 · PESTEL

PRESSURE FROM EVERY SIDE

Negative for Shein — Mixed

P
POLITICAL

Duty-free small parcels are ending

NEGATIVE

E
ECONOMIC

Growth, profit and valuation are falling

NEGATIVE

S
SOCIAL

Tolerance for fast fashion is shrinking

NEGATIVE

T
TECHNOLOGICAL

AI helps everyone, rules demand traceability

MIXED

E
ENVIRONMENTAL

Emissions up 23% in one year

NEGATIVE

L
LEGAL

Over €210 million in fines since 2025

NEGATIVE

P · PESTEL · POLITICAL

POLITICAL

01 No more duty-free small parcels in the US and EU

02 €3 duty per product in EU

03 Geopolitical positioning of Shein

04 Forced-labor politics concerning Xinjiang cotton

4.6bn

low-value parcels entered the EU in 2024, **over 90% from China**

E · PESTEL · ECONOMIC

ECONOMIC

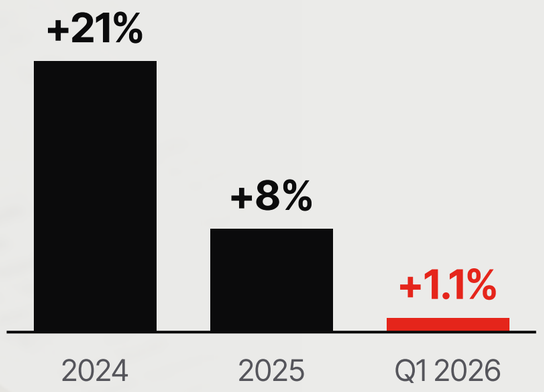
01 **Custom duties and handling fees**

02 **Price-sensitive consumers shop elsewhere**

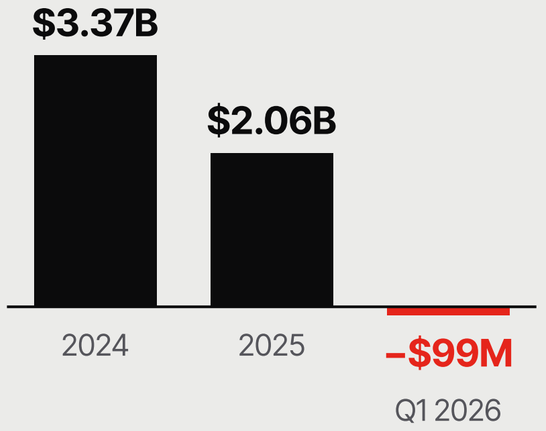
03 **Results:**

- ↘ Growth is slowing
- ↘ Profit has dropped
- ↘ Shein's valuation has shrunk by half

Revenue growth is slowing



Net income is falling ($ billion)



$100B → $40-50B

Valuation halved
2022 → now

S · PESTEL · SOCIAL

SOCIAL

01 Public and political tolerance for fast fashion is shrinking

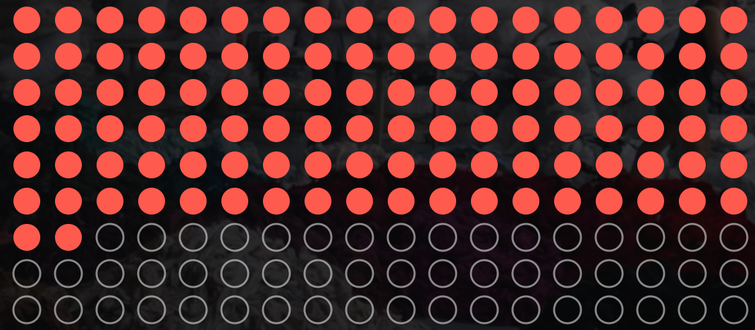
02 Product safety is lacking

03 Illegal products on Shein's website

04 Unreasonable labor conditions

05 The norms are changing

110 OF 162



items from Shein and Temu failed EU standards in tests by a German testing body, including unsafe toys and toxic metals in jewelry.

T · PESTEL · TECHNOLOGICAL

TECHNOLOGICAL

01 **Platform and AI technologies**

They lower the cost of personalization and trend detection, for everyone

02 **Regulatory technology requirements are growing**

EU digital product passports and traceability rules

03 **Textile-to-textile recycling is maturing slowly**

Recycled supply is still limited, but improving

E · PESTEL · ENVIRONMENTAL

ENVIRONMENTAL

01 Emissions up 23% in one year

02 Speed = air freight

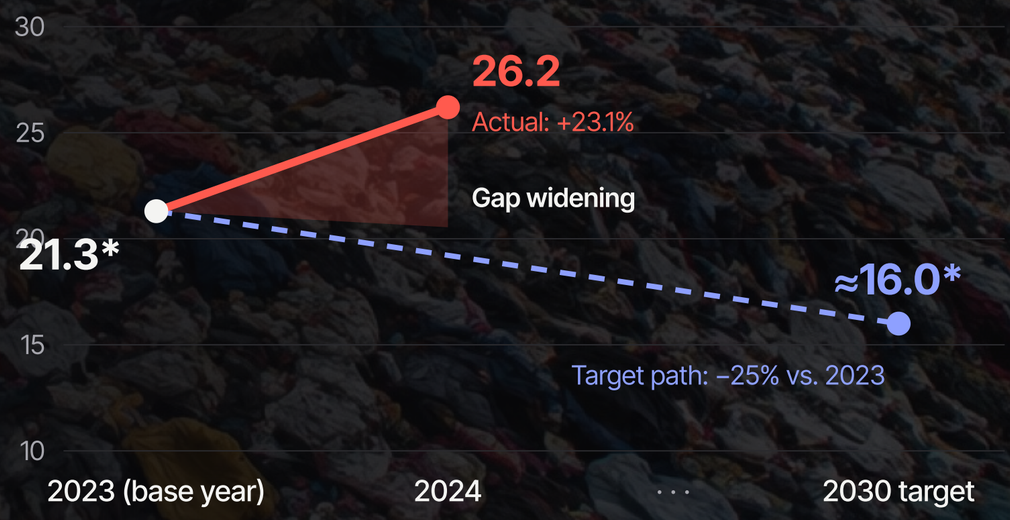
03 Only 9% recycled polyester

04 Throwaway culture and textile waste

05 Efforts exist, but growth outpaces them

EMISSIONS ARE MOVING AWAY FROM THE TARGET

Shein's emissions vs. its own target (million tonnes CO2e)



*Calculated from Shein's own figures: 26.2 Mt in 2024 is +23.1% vs. 2023; the SBTi target is a 25% cut in Scope 3 by 2030 vs. 2023. Source: Sustainability Magazine; Shein Group.

L · PESTEL · LEGAL

LEGAL

01 Record fines: over €210 million since 2025

02 EU Digital Services Act: up to 6% of turnover

03 France and the EU now regulate ultra-fast fashion by law

04 Forced-labour import bans

05 Copyright lawsuits

OVER €210 MILLION IN FINES SINCE 2025

Shein's fines in Europe since 2025 (€ million)

CNIL France, cookies (Sept 2025)
€150M

DGCCRF France, fake discounts and green claims (July 2025)
€40M

DGCCRF France, product information (June 2026)
€22.5M

AGCM Italy, greenwashing (Aug 2025)
€1M

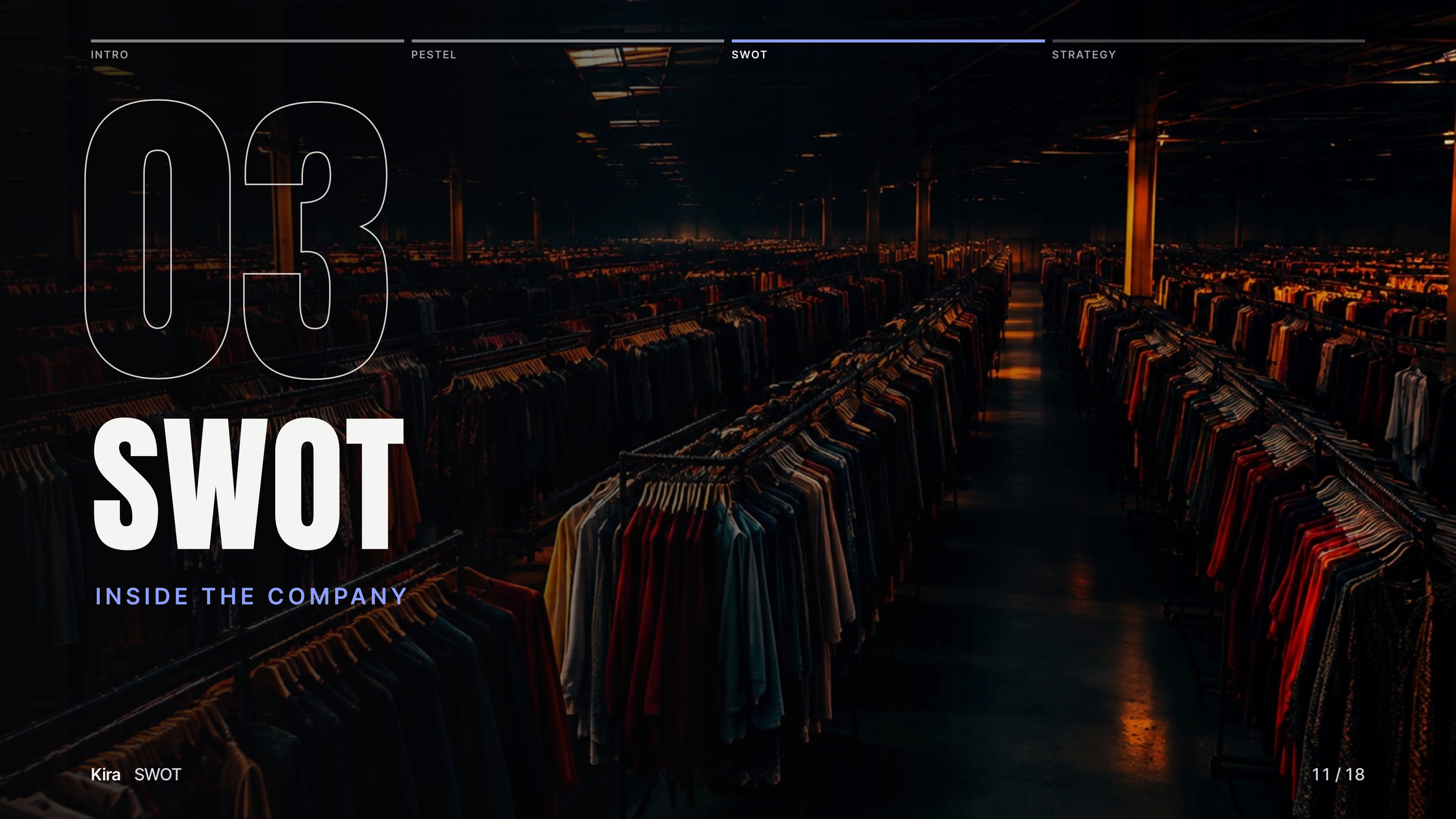
Maximum possible EU Digital Services Act fine (6% of turnover)

≈ €2,100M ($2.5B)

Today's fines are small compared with what is coming. Max DSA fine = 6% of 2025 revenue of $41.8 billion.
Sources: CNIL; Caixin; Euronews; Lewis Silkin.

03 SWOT

INSIDE THE COMPANY



03 · SWOT

STRATEGIC POSITION

S STRENGTHS

- Affordable pricing
- High production speed
- Expansive product assortment
- Social media marketing
- App design



W WEAKNESSES

- Long shipping times
- Poor customer service
- Disreputable brand image
- Inconsistent quality
- Unethical labor practices



O OPPORTUNITIES

- Physical retail channels
- Online marketplace expansion
- Brand acquisitions





T THREATS

- New environmental rules
- Sanctions on ultra fast fashion
- ESG repercussions
- Intense competition



03 · SWOT

THREE NUMBERS, TWO SIDES

STRENGTH

2,000-10,000

new products per day

WEAKNESS

7,667

complaints to the Better Business Bureau in the last 3 years

WEAKNESS

75H

work weeks, with severe underpayment and exposure to toxic chemicals and PFAs

04

STRATEGY

THE WAY FORWARD

04 · STRATEGIC CHALLENGE

THE CHALLENGES BEHIND SHEIN'S GROWTH

01
GROWTH
Slowing momentum

02
LEGITIMACY
Regulation · Reputation

03
BUSINESS MODEL
Low price · High volume · High impact

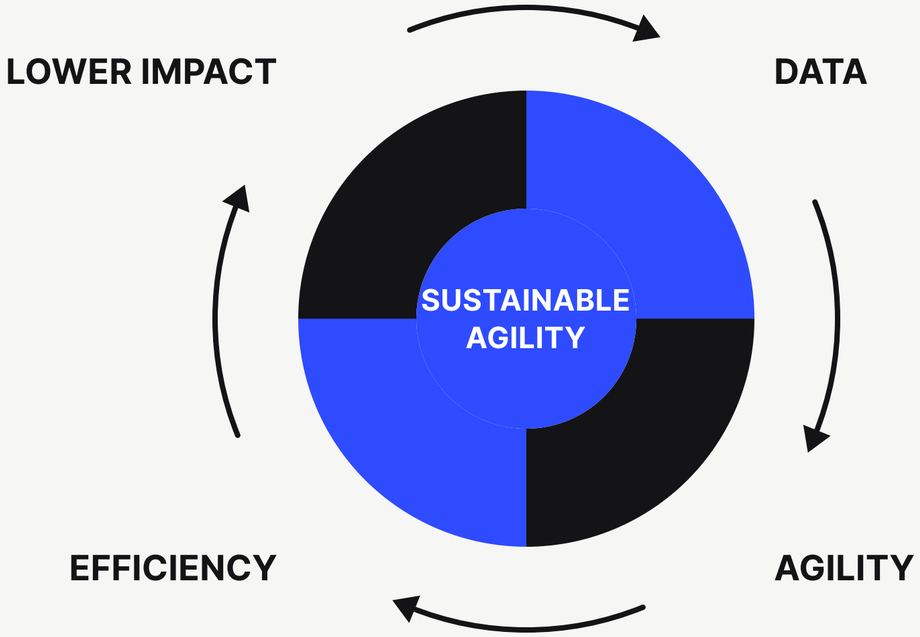


Source: Statista (company filing), "Shein Faces Growth Challenges Ahead of IPO", CC BY-ND

SHEIN MUST SCALE GROWTH WITHOUT SCALING IMPACT.

04 · STRATEGIC RESPONSE

WHAT SHOULD SHEIN'S STRATEGY BE?



KEEP

Data
Speed
Agility
Digital

CHANGE

Materials
Suppliers
Waste

FROM FAST GROWTH → SUSTAINABLE GROWTH

THE WORLD AROUND SHEIN IS CHANGING FASTER THAN SHEIN.

THANK YOU · QUESTIONS

APPENDIX

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